

But with better infrastructure, we are now moving deeper into the hinterlands, which were earlier unattended. This is also boosting our growth,” he says. Cashing in on the opportunity, VBL has added 500,000 outlets under its fold in the past 12 months—taking its total outlet reach to 3.5 million stores.

According to K.S. Narayanan, FMCG industry veteran and former MD of McCain Foods India, in the case of VBL, territorial expansion played an important role in the massive jump in revenue and profits. Plus, its international operations are also growing. Apart from 27 states and seven union territories in India, which together form well over 90 per cent of the country’s consumer market, VBL has a major presence in foreign markets like Nepal, Sri Lanka, Maldives, Morocco, Zambia and Zimbabwe.

90 | It already has plants in five out of those six markets, Jaipuria tells BT, and to increase its capacity further, VBL is setting up a greenfield bottling plant in the Democratic Republic of Congo (DRC). Per estimates by Nuvama Institutional Securities, with that plant, VBL will serve 60 per cent of the DRC market. Recently, the firm also got distribution rights in another African country, Mozambique. Jaipuria’s close and trusted relationship with PepsiCo over the decades is another factor that underpins VBL’s rise, says Narayanan.

MOMENTUM INTACT

Factors like these have helped keep the momentum going in FY24. Its performance in the key season (April-June quarter) suffered due to a milder summer, but in the July-September period, VBL reported 22 per cent YoY growth in top line at ₹3,870 crore, backed by 16 per cent growth in volumes, while its PAT surged 31.5 per cent to ₹501

BOTTLING IT UP



► **Bottles and markets key PepsiCo portfolio across 27 states and seven UTs in India—over 92% of PepsiCo’s India business**



► **30 manufacturing plants in India, at least six abroad, and one upcoming greenfield facility in Congo**



► **Investing ₹3,000 crore to expand capacity that will grow over 45 per cent higher than 2022 peak**



► **Added 500,000 outlets in last 12 months, taking total in India to 3.5 million**



► **Largest bottler in the country in terms of yearly revenue, ahead of arch rival Coca-Cola’s HCCB**



“VBL’s growth has been exceeding the FMCG category driven by expansion... and improving power situation, aiding penetration in the rural areas”

ABNEESH ROY
EXECUTIVE DIRECTOR,
NUVAMA

crore. According to Abneesh Roy, Executive Director at Nuvama, VBL’s performance has been way better than most of its local FMCG peers. But there are some downside risks that are associated with the type of business it is in. As VBL’s entire business is highly dependent on PepsiCo’s bottling and packaging contracts, non-renewal of such deals remains a threat. Moreover, the price it pays PepsiCo for the proprietary concentrates and seasonal variations are key risks that it would have to manage efficiently. But for now, VBL’s dream run is only expected to accelerate.

As per Emkay Global Financial Services, several factors continue to drive VBL’s business in FY24 and it will continue at least till FY25. Identifying the growth potential, in the past few years, VBL has invested ₹3,000 crore in capacity